The surplus is arrived by deducting compensation to employees and production taxes less production subsidies and consumption of fixed capital from gross value added.

The surplus so arrived in the case of incorporated enterprises are called **Operating surplus**. The surplus arrived in the case of unincorporated enterprises are called **mixed income**.

Incorporated enterprises refer to enterprises that are established as a separate legal entity. A separate legal entity is an entity which can be treated like a human being. It is capable of entering into contracts and on failure of its contract it can be sued in a court. It can borrow from anybody and it has to repay. The examples of incorporated enterprises are Companies and Limited Liability Partnerships (LLPs) registered under the Companies Act.

If the legal entity is not able to repay the borrowed loan, the investors or promoters of the legal entity are not responsible to repay the loan availed by the company. For example for the default of Kingfisher Airlines Ltd., Vijay Mallya cannot be held responsible unless it is proven that he misused his position and misappropriated the borrowed funds.

Even the promoters' or investors' investment itself is a liability of the company it owes to investors or promoters. The company is altogether a separate person from the investors and promoters. The fixed assets and other assets created out of the investments are of the legal entity and not of the investor or promoters.

Unincorporated enterprises are enterprises that are not incorporated as separate legal entity. There is no distinction between the owners/investors and the entities. Examples of unincorporated entities are proprietorship concerns, partnership firms. The proprietorship concerns cannot enter into any contract. They cannot borrow. Everything should be done in the name and by the owner/investor.